Extra exercises of Lecture 18

EX 1

In securities' underwriting, a firm commitment contract:

a) allows the investment bank to receive a fixed profit
b) allows the investment bank to share its risk with the issuing firm
c) insures both the investment bank and the issuing firm
d) the issuing firm receives a fixed amount of capital

EX 2

An investment bank is the underwriter for the issuance of 150 shares in firm McBubble under a firm commitment contract. The investment bank sells the shares for a total of 410 dollars, posting a loss of 25 dollars. The contractual price of the shares (agreed between the bank and the firm) was:

a) $ 1.5
b) $ 2.9
c) $ 2.5
d) $ 3.0

EX 3

Firm K plans to sell 400,000 shares on the market. 70% of these are assigned to investment bank IB1, which sells through a best-efforts agreement at a price of $9. The underwriting commissions amount to $0.5 per share that is sold. The remainder goes through a firm commitment underwriting with another investment bank, IB2, which purchases the shares at $7. Given that IB1 only manages to sell 220,000 shares, how much does Firm K raise?

a) $ 2.71 M
b) $ 3.17 M
c) $ 3.27 M
d) $ 3.35 M

EX 4

Firm Newco plans to make a seasoned offering to sell 100,000 shares on the market. The IB commits to buy all the shares at price of $12.5 and applying a fee of $0.2 per share. After few hours, at the end of the trading day, the price has risen so that the initial underpricing was of 45%. What is the capitalization of the Newco at the end of the trading day if the number of total shares outstanding is 2 million?

a) $ 16.25 M
b) $ 48.00 M
c) $ 36.25 M
d) $ 86.70 M